**BEFORE THE NATIONAL COMPANY LAW TRIBUNAL**
**ALLAHABAD BENCH, PRAYAGRAJ**

**CA (CAA) No. 20/ALD of 2023**
**(First Motion)**

**Under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016**

**IN THE MATTER OF SCHEME OF AMALGAMATION OF**:

**ANTARCTICA FINVEST PVT LTD**

having its registered office at
19, Civil Lines, Shahjahanpur Road,
Bareilly-243 001, Uttar Pradesh
CIN: U70109UP1995PTC159122
… Applicant Company/Transferee Company

with

**HELP-LINE SECURITIES PVT LTD**

having its registered office at
2/16, Ground Floor, Ansari Road,
Gali No.2, Daryaganj, Behind Vijaya Bank,
New Delhi-110 002
CIN: U67120DL1996PTC080343
… Non-Applicant Company/Transferor Company

**Order delivered on: 09.08.2023**

**CORAM: Hon'ble Mr. Praveen Gupta, Member (Judicial)**

**Hon'ble Mr. Ashish Verma, Member (Technical)**



*-Sd-* *-Sd-*

**Present:**

For the Applicant Companies: Mr Ankit K Singh, PCS

**ORDER**

**1.** This is a First motion Application filed by the Applicant Company namely-**Antarctica Finvest Pvt Ltd** (the Transferee Company/Applicant Company) under Sections 230 & 232 of the Companies Act, 2013, read with Section 52 and 66 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and other applicable provisions, if any, in relation to the Scheme of Amalgamation of Help-Line Securities Pvt Ltd with Antarctica Finvest Pvt Ltd. The said Scheme is attached as **Annexure A-4** of the Application.

**2.** The Applicant Company has prayed for dispensation of the requirement of convening meeting of its Equity Shareholders. The Applicant Company does not have any Secured Creditor or Unsecured Creditor.

**3.** The Applicant Company is engaged in securities investments and lending business and other related activities. The Transferee Company is registered with the

Reserve Bank of India (RBI) as a non-deposit accepting Non-Banking Financial Company (NBFC).

**4.** The Transferee Company has its registered office in the State of Uttar Pradesh and hence is under the jurisdiction of this Bench. Whereas, the Transferor Company has its registered office in the NCT of Delhi and hence is under the jurisdiction of the National Company Law Tribunal, New Delhi Bench-V, New Delhi. The Learned Counsel for the Applicant Company submits that a separate 1st Motion Application being CA (CAA) 58 (ND) of 2023 has been filed by the Transferor Company before the New Delhi Bench-V.

**5.** The rationale of the Scheme is given below:

**a.** The Transferor Company and the Transferee Company are closely held un-listed Group Companies under common management and control. The proposed amalgamation of the Transferor Company with the Transferee Company would result in consolidation of Group Companies and pooling of their resources into a single entity.

**b.** The proposed Amalgamation would result in business synergy, pooling of physical, financial and human



-Sd- -Sd-

resource of these Companies for the optimal utilization of these factors in the combined entity.

**c.** The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of redundancies, reduction of overheads, optimal utilization of financial, human and other resources and enhancement of overall business efficiency. The proposed Scheme of Amalgamation will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.

**d.** The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present are required to be made separately by the Transferee Company as well as by the Transferor Company.

**e.** The proposed Amalgamation will streamline and simplify the shareholding structure.

**f.** The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

**g.** The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

**6.** It is stated that the Board of Directors of the Applicant Transferee Company in its meeting held on 9th May, 2023, considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copy of the Board Resolution of the Applicant Company is attached as **Annexure: A-1/5** with the application.

**7.** The appointed date of the Scheme is 01.04.2023 as mentioned in the Para 1.1.4 of Scheme of Amalgamation which is annexed as Annexure-A-4 with the Application.

**8.** It is stated that Applicant Transferee Company has filed the Audited Financial Statements as on 31.03.2022 which is attached as Annexure A-1/2 of the Application. The

Applicant Transferee Company has also filed its Un-audited Financial Statements (provisional) as on 28.02.2023 which is attached as Annexure A-1/3 of the Application.

**9.** It is submitted that in terms of the provisions of Section 230(7) and Section 232(3) of the Act, the Applicant Company and Non-Applicant Company have filed Certificates dated 05.06.2023 & 24.05.2023, respectively, issued by their Statutory Auditors, certifying that the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Act and the same are annexed as Annexure: A-5 with Application.

**10.** It is further submitted that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme of Amalgamation has been issued by Ms Mallika Goel, Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) vide Registration No.IBBI/RV/11/2022/14784 and the same is annexed as Annexure: A-3 with the Application. The following Fair Exchange Ratio has been proposed in the aforesaid Report:

**a.** The Transferee Company will issue 1 (one) Equity Share of ₹100 each, credited as fully paid-up, to each of the Shareholders of the Transferor Company against their respective Shareholding in the Transferor Company- Help-Line Securities Pvt Ltd (irrespective of number of shares held by these shareholders in the aforesaid Transferor Company).

Any fraction of share arising out of the aforesaid share exchange process, if any, will be rounded off to the nearest whole number.

**11.** It is submitted that the Scheme [Annexure: A-4 of the Application] also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Clause 7 of the Scheme.

**12.** It is deposed by the Applicant that there is no sectoral regulator in the Applicant Company whose approval may be required for the sanction of the Scheme of Amalgamation except the statutory authorities, i.e., (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of

Corporate Affairs, Kanpur; (c) the Income Tax Department; (d) The Official Liquidator, Uttar Pradesh, Allahabad and (e) the Reserve Bank of India, Kanpur.

**13.** It is also deposed that the proposed Scheme of Amalgamation will not attract the provisions of the Competition Act, 2002. Hence, no intimation to/approval from the Competition Commission of India (CCI) is required for the present Scheme of Amalgamation.

**14.** It is also submitted and deposed that there are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against the Applicant Company. Further, it is also submitted that neither any winding up application has been filed against the Applicant Company nor there are any liquidation proceedings against the Applicant Company. The Applicant Company is not facing any CIRP process nor has been struck off from Registrar of Companies.

**15.** The Applicant Company has furnished the details of the Equity Shareholders, Secured Creditors and Un-secured Creditors along with their Consent Affidavits, as the case may be, as per the following detail:

| Company | No. of Share Holders | Consent Given | No. of Secured Creditors | Consent Given | No. of Un-secured Creditors | Consent Given |
|---|---|---|---|---|---|---|
| Transferee Company | **4** | *All* | **Nil** | *N.A.* | **Nil** | *N.A.* |

**16.** Accordingly, the directions of this Bench in the present case are as under:

**I. In relation to the Applicant Transferee Company:**

**a.** The meeting of the Equity Shareholders of Applicant Transferee Company is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

**b.** Since, there is no Secured Creditor in the Applicant Transferee Company, the requirement of convening the meeting of Secured Creditors does not arise.

**c.** Since, there is no Un-secured Creditor in the Applicant Transferee Company, the requirement of convening the meeting of Un-secured Creditors does not arise.

**17.** In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Company to file Second Motion Petition with a direction that the Applicant Company shall make specific prayer for sending notices to



-Sd- -Sd-

the (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Reserve Bank of India (DNBS), Kanpur; (d) The Official Liquidator, Uttar Pradesh, Allahabad; and (e) the Income Tax Department by disclosing the PAN number of the Applicant Company in the Second Motion Petition.

**18.** The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder.

**19.** That appropriate prayer would also be made in the second motion petition for publication in newspaper.

**20.** With the aforesaid directions, the First Motion Application bearing CA (CAA) No.20/ALD/2023 is disposed off accordingly.

**21.** Certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

*-Sd-*

**(Ashish Verma)**
**Member (Technical)**

*-Sd-*

**(Praveen Gupta)**
**Member (Judicial)**

Aditi Kharbanda
(LRA)